

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY

Master Of Business Administration (MBA)

Semester - I University Examination 2009-10

MB730 : FINANCIAL REPORTING AND ANALYSIS

Date : 11/01/2010, Monday

Time : 1.00 p.m. To 4.00 p.m.

Maximum Marks: 70

Instructions:

1. This paper contains six questions, of which the last one is a case.
2. All questions are compulsory.
3. Each of the first five questions will carry 10 marks and the last question will carry 20 marks.

Q - 1

(A) Explain in brief the basic concepts of accounting with suitable examples. 5

(B) From the following ratios and additional information, prepare a Trading A/c, Profit & Loss Account and Balance Sheet. 5

Gross Profit Ratio	25%
Net Profit Ratio	20%
Stock Turnover Ratio	10
Net Profit/ Capital	1/5
Capital to Liabilities	1/2
Fixed Asset/ Capital	5/4
Fixed Asset/ Total Current Asset	5/7
Fixed Asset	Rs. 1,000,000
Closing Stock	Rs. 100,000

Q - 2

(A) Explain Accounting Standard - 10 (AS - 10) for accounting for Fixed Assets and answer the following: 5

On March 31, 2002, Anmol Ltd. exchanged an old machine having a book-value of Rs. 16,800 and paid cash difference of Rs. 6,000 for a new machine having a total cash price of Rs. 20,500. On March 31, 2002 what amount of loss or profit should the company recognize for this exchange?

- (B) Explain Accounting Standard for Effect of Change in Foreign Exchange Rate (AS - 11). Calculate loss/ gain on the following transactions for the financial year 2004-05 and 2005-06

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Goods purchased on 24-2-2005 of US \$ 10,000 - Exchange Rate Rs. 46.60
 Exchange Rate on 31-03-2005 Rs. 47.00
 Date of Actual Payment 05-06-2006 Rs. 47.50

Q - 3

- (A) Financial statements of Good Luck Ltd. contain following information.

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	Rs. In '000	
	2002	2003
Cash	200,000	160,000
Sundry Debtor	320,000	400,000
Temporary Investment	200,000	320,000
Stock	1,840,000	2,160,000
Prepaid Expenses	28,000	12,000
Total Current Asset	2,588,000	3,052,000
Total Asset	5,600,000	6,400,000
Current Liability	640,000	800,000
Loans	1,600,000	1,600,000
Capital	2,000,000	2,000,000
Retained Earning	468,000	812,000

Statement for Profit for the current year

Sales	4,000,000
Less : Cost of goods sold	-2,800,000
Less : Interest	-160,000
Net Profit	1,040,000
Less : Tax @ 50 %	-520,000
Profit after Tax	520,000
Profit Distributed	220,000

From the above, appraise the financial position for the year 2003 by using ratios and give your comment.

- (B) X Ltd. purchased a second-hand machine on 1 January 2001 for Rs. 37,000 and immediately spent Rs. 2,000 on its repairs and Rs. 1,000 on its erection. On 1 July 2002, it purchased another machine for Rs. 10,000 and on 1 July 2003 sold off the first machine purchased in 2001 for Rs. 28,000. On the same date, it purchased a machine for Rs. 25,000. On 1 July 2004 the second machine was also sold at Rs. 2,000. Depreciation was provided on the machine at 10 % p.a. on the original cost annually on 31st December.

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Prepare the Machine account for the four calendar years starting from 01-01-2001 along with necessary workings.

Q - 4

- (A) Answer the following questions. Each question carries 2 marks.

6

1. Fill in the Blanks.

Case	Capital as on 31-12-01	Capital as on 01-01-01	Profit /loss during 2001	Drawing during 2001	Fresh capital during 2001
I	?	6,000	3,000	1,200	600
II	12,000	?	(600)	1,800	2,400
III	12,600	6,000	?	1,200	6,000
IV	6,000	12,000	3,000	?	600
V	9,000	18,000	(4,800)	4,200	?

2. Explain the types of amalgamation.

3. How will you value the inventory of finished goods at the year-end.

Material Cost	Rs. 100 per kg.
Direct Labour cost	Rs. 20 per kg.
Direct variable production overhead	Rs. 10 per kg.
Fixed production charges for the year on normal capacity of 100,000 kg. is Rs. 1,000,000. The stock of finished goods at the year-end is 2000 kg.	

- (B) Explain in brief the effect of change in inventory valuation method (FIFO, LIFO and WAM) on financial statement with a suitable example.

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Q - 5

- (A) SRK Apparels Ltd. was formed on 1-04-2006 with an equity issue of 100,000 shares of Rs. 10 each, at a premium of Rs. 1.5 per share. The company received the amount including the share premium.

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To fund the business, the company got cash credit limit from bank of Rs. 100,000. The directors of the company gave loan of Rs. 200,000 and an inter-corporate loan was sanctioned by BOD of Rs. 150,000. This is still outstanding on March 31, 2007. The company purchased the following during the year.

Boiler – Rs. 100,000; Building – Rs. 280,000; Electrical installation – Rs. 430,000; Plant & Machine – Rs. 90,000

All these items are to be depreciated at 10 % except Boiler which is depreciated at 20 % p.a.

The closing stock as on 31 March 2007 is : Raw material – Rs. 100,000 (Market value Rs. 125,000), Work in progress – Rs. 200,000 (Market value Rs. 150,000), Finished Goods – Rs. 250,000 (Market value – Rs. 250,000).

The sundry debtors at the year-end were Rs. 450,000, of which parties to the tune of Rs. 50,000 were considered doubtful. The management has decided to create provision for bad and doubtful debt of Rs. 50,000.

Amount payable to various suppliers was Rs. 200,000 on 31-03-2007. The company had cash balance of Rs. 30,000, FD with bank Rs. 150,000 and Bank balance of Rs. 120,000.

You are required to prepare Balance Sheet as on 31-03-2007 in vertical format.

(B) Prepare cash flow statement for 2005 from the following information.

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Balance Sheet as at 31 March

Rs.'000

Asset	2004	2005	Liability	2004	2005
Fixed Asset (Land)	400,000	500,000	Equity Capital	250,000	500,000
Investment	200,000	nil	Preference Capital	50,000	20,000
Machinery	150,000	300,000	Debenture	100,000	40,000
Cash in hand	41,000	200,000	Long term borrowing	nil	30,000
			Net Profit	100,000	119,000
			Reserve & Surplus	291,000	291,000

Profit and Loss account for the year ending March 31, 2005

Rs.

Purchase (cash)	15,000	Sales - cash	30,000
Salary and Wages	5,000	Interest Received	10,000
Income tax	1,000	Dividend Income	15,000
Debenture interest	6,000		
Pre. Share dividend	3,000		
Equity share dividend	6,000		
Net Profit	19,000		

Q - 6 From the following trial balance and additional information, prepare Profit and Loss Account and Balance Sheet on 31-03-2002 of Sachin Ltd.

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(Rs. '000)

Particulars	Dr. (Rs)	Cr. (Rs)
Capital / Drawings	297,300	150,000
Plant and Machinery	50,000	-
Sales / Purchase	1,537,000	1,991,500
Returns	4,000	5,000
Wages and Salary	5,000	-
Sundry Creditors/ Sundry Debtors	280,000	196,000
Provision for doubtful debt	-	10,000
Bad debt	3,000	-
Discount	1,800	1,000
Loose Tools	5,000	-
10% loan from Amirchand (on 1-7-2001)	-	200,000
12% loan to Garibchand (on 1-8-2001)	200,000	-
Interest on loan from Amirchand	10,000	-
Interest on loan to Garibchand	-	12,000
Dividend	-	1,000
Investments	10,000	-
Income tax of Mr. Sachin	5,000	-
Salesman's Commission	87,500	-
Sundry Expenses	65,000	-
Sales Tax	5,900	-
	2,566,500	2,566,500

Additional Information:

1. Closing Stock : Market Price -Rs. 61,500 and Cost Rs. 80,000.
2. A machine costing Rs. 20,000 purchased on 1-7-01. Wages of Rs. 1,000 for erection have been debited to wages account. Depreciation on it was 10% p.a.
3. Sundry Debtors include an amount of Rs. 5,000 due from a customer who became insolvent. Maintain provision for doubtful debt at 10% & for discount @ 2% on debtors. Also create a reserve for discount on creditors at 2%.
4. Dividend accrued and due on investments was Rs. 500.
5. Loose Tools were valued at Rs. 4,000.
6. Credit purchase amounting to Rs. 4,000 had been omitted from books.
7. Received credit purchase invoice of Rs. 6,000 on 27-03-02 but the goods were not received till the end of the year.
8. The salesmen were entitled to a commission of 5% on total sales and sales manager is entitled to a commission of 1% on gross profit.

9. Sales include goods worth Rs. 75,000 sent out to Mr. Dhoni on approval and the same remain unsold at the year-end. The cost of goods was Rs. 50,000.
10. Fire occurred on 23-03-02 and goods costing Rs. 10,000 (selling price Rs. 15,000) were destroyed. Insurance claim was accepted for 60% only and paid the claim money on 10-04-2002.
11. Investments include shares of X Ltd. purchased for Rs. 3,000 and it was decided to write off this investment as the company is under liquidation.